ContexAi GROUP | Economic Vibes — Morning Brief

Thursday, 5 November 2026
Daily Brief · Post-Midterms Edition
compiled ~06:50 AM PKT · PSX & US Wed close

ContexAi Research Desk · Sourced via Mettis, Dawn, Business Recorder, TheStreet, Oilprice, Kitco, Trading Economics, Arab News and Rio Times · For the C-Suite & HNW Investor · **V** = verified vs licensed media/official portal · **EST.** = ContexAi desk estimate · **PSX, PKR and US index figures are the Wednesday 4 Nov close; oil, metals and yields are intraday**

KSE-100 V	S&P 500 V	US 10Y / 2Y EST.	BRENT / WTI EST.	GOLD / SILVER EST.	USD/PKR V
172,013.48	7,688.62	~4.90% / ~4.60%	~$94.7 / ~$88.1	~$4,125 / ~$52.9	276.70
▲ 2.38% (+3,994.62) Wed close · breadth 90 up / 10 down	▲ 1.58% Wed · Dow ▲ 3.03% (53,356) · Nasdaq ▲ 1.44% (25,737)	Wed intraday · 10Y down ~6bp on midterm result · DXY ~101.4	Wed 1pm ET ▼ ~8.6% / ▼ ~8.3% · Brent ~$94 on Thu	Thu intraday ▲ 1.6% / ▲ 1.2% · gold back above $4,000	interbank Wed close (276.71 Tue) · SBP 12.0% · 6M KIBOR 12.42/12.67

01 Five Things You Need To Know To Start Your Day

KSE-100 HITS RECORD 172,013 The KSE-100 closed at **172,013.48 (+3,994.62, +2.38%)** in a 168,355–172,287 range; 90 of 100 index stocks rose, KSE-100 volume 371m shares, market volume 842m shares (Rs35.4bn) with 368 up / 103 down. BOP +10%, AKBL +8.8%, NBP +6.9% led as easing oil lifted sentiment. Mettis · Dawn · Business Recorder · V

DOW +3% AS DEMOCRATS TAKE CONGRESS Wednesday close: **Dow 53,356.12 (+3.03%), S&P 500 7,688.62 (+1.58%), Nasdaq 25,736.51 (+1.44%)**, the biggest post-midterm rally in 44 years; Democrats won the House and Senate. Apple, Amazon and Microsoft rose 6–7%. TheStreet · CBS News · V

OIL COLLAPSES ~9% ON IRAN-DEAL HOPES Brent fell $8.94 to about **$94.66** and WTI $8.01 to **$88.08** (1:06pm ET) after the White House tied midterm losses to the Iran war; Brent had traded near $118 a week earlier. EIA showed crude −0.9m bbl and distillates −3.6m bbl. Iran says talks are "far from an agreement". Oilprice · Kitco · Trading Economics · EST. (intraday)

GOLD BACK ABOVE $4,000 Spot gold jumped ~2.9% to ~**$4,041** Wednesday and ~**$4,125** Thursday intraday; silver ~**$52.9**, on a weaker dollar and lower yields. The Fed held at 3.75–4.00% on 28 Oct (10–2, two hike dissents); December hike odds ~75–80%. Payrolls Friday. Kitco · Rio Times · Trading Economics · EST.

PAKISTAN MACRO TAILWINDS October CPI **9.6%** (10.3% prior); USD/PKR **276.70** (275th straight session of appreciation); petrol cut Rs7.06 and diesel Rs3.71/litre, a Saudi $3bn loan rollover and an IMF Board meeting expected next month. Dawn · Mettis · Mettis · Mettis · V

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

A broad-based breakout to a record close. The KSE-100 closed Wednesday at **172,013.48** (+3,994.62, +2.38%; Tuesday 168,018.86, +0.87%), between 168,355.26 and 172,286.99. KSE-100 volume was 371.0m shares; 90 of 100 constituents advanced and 10 declined. Market-wide the All-Share index rose 2.13% to 103,148.97 on 841.6m shares worth Rs35.4bn, with 368 gainers, 103 decliners and 28 unchanged (Mettis, Dawn) **[V]**. Top index gainers were BOP +10.00%, AKBL +8.79%, NBP +6.92%, KEL +6.57% and AHCL +5.96%; Business Recorder's intraday report cited buying in autos, cement, commercial banks, E&P, OMCs, power and refineries, with mutual funds the main buyers, and pointed to oil stabilising near $103 as a sentiment driver before the later slide (Business Recorder) **[V]**. Sector point-contributions and laggards were not published. **Macro:** October CPI **9.6% y/y** (10.3% prior; urban core 7.8%) (Dawn); SBP policy rate **12.0%** after the 26 Oct 50bp hike (Mettis); 6M KIBOR 12.42%/12.67% **[V]**. **FX:** USD/PKR closed **276.70** interbank (276.71 prior), the 275th consecutive session of rupee appreciation; open market 277.30/280.00 (Mettis) **[V]**. **Fuel:** petrol price cut by Rs7.06 and diesel by Rs3.71 per litre (headline; details not read) after a Rs5.45 petrol cut on

3 Nov (Mettis) **[V headline]**. **External:** a $3bn Saudi loan rollover and an IMF Board meeting expected next month (headlines only) (Mettis, Mettis) **[EST.]**.

- **PSX Closing Bell: A Rally Worth the Roar** — Mettis.
- **PKR maintains 275-session winning run, closes at 276.70** — Mettis.

B. GCC & Middle East

Non-oil PMIs cool, TASI rebounds, Brent drop tests Gulf budgets. Saudi Arabia's non-oil PMI eased to **54.0** in October (55.3 in September), the seventh month above 50, with export sales falling for an eighth month (**Trading Economics / S&P Global**) **[V]**; the UAE non-oil PMI slipped to **54.8** (55.3), with price pressures intensifying (**Arab News**) **[V]**. TASI was quoted at **10,038.89 (+1.65%)** on 4 Nov, still about 4.2% lower on the month (**Trading Economics**) **[EST., CFD-based quote]**. Saudi Arabia posted a $22.38bn Q3 budget deficit (**Arab News**; headline only) **[V headline]**, which makes Brent's drop below $100 a fiscal watch item. Vortexa data cited by Oilprice show Gulf crude exports averaged 17.1m bpd in October against 18.9m in September, and Iran says four tankers were destroyed by mines near Hormuz; Houthis claimed an attack on Riyadh's King Khalid airport, which Saudi Arabia did not confirm (**Oilprice**) **[EST.]**. Qatar is mediating US–Iran talks, though a senior Iranian official says the sides are "far from an agreement" (**Kitco**) **[EST.]**. DFM/ADX closes, PIF mandates and OPEC+ decisions dated this week were not found.

- **Saudi non-oil PMI 54.0 in October** — Trading Economics / S&P Global.
- **UAE non-oil PMI eases to 54.8 as price pressures intensify** — Arab News.

C. Global Intelligence — USA & Oil

Democrats take Congress; stocks surge, oil crashes. Wednesday closes: **Dow 53,356.12 (+1,569.40, +3.03%), S&P 500 7,688.62 (+1.58%), Nasdaq 25,736.51 (+1.44%), Russell 2000 2,856.96 (+1.58%)**, the Dow's best post-midterm day in 44 years. Democrats won the House and the Senate; Apple (+6%), Amazon (+7%) and Microsoft (+7%) led after earnings, while energy stocks fell most (**TheStreet**, **CBS News**) **[V]**. **Oil:** Brent fell $8.94 (−8.6%) to about **$94.66** and WTI $8.01 (−8.3%) to **$88.08** at 1:06pm ET, after the White House blamed the Iran war for the midterm rout; Trump told the FT there are no immediate plans to strike Iran, and a Democratic Congress could curb Middle East military funding. The EIA week to 30 Oct showed crude −0.9m bbl to 409.8m and distillates −3.6m bbl, and 300,000 bbl were loaned from the Northeast Home Heating Oil Reserve. Trading Economics had Brent near $94 on Thursday, about 16% lower on the week; other tickers showed stale Brent prints of $102–110, which the desk disregards (**Oilprice**, **Trading Economics**, **Kitco**) **[EST., intraday, no official settlement published]**. **Rates and Fed:** the 10Y yield fell about 6bp to ~4.90% and the 2Y was ~4.60% early Wednesday; DXY ~101.4. The Fed held at 3.75–4.00% on 28 Oct (10–2, Cook and Hammack dissenting for a hike); December hike odds are ~75–80% (Polymarket 74.5%, Kitco ~80%). Data: ADP +86k, JOLTS 7.52m, ISM manufacturing 55.5; jobless claims Thursday, October payrolls Friday, CPI on 10 Nov (**Kitco**, **Rio Times**) **[EST.]**. **Policy:** Reuters notes a divided government narrows Trump's room to legislate, adds AI-sector and tariff scrutiny, and puts the 11 Dec FY2027 spending deadline in focus (**Reuters via Kitco**) **[EST.]**. **Metals:** gold ~$4,041 (+2.9%) on Wednesday and ~$4,125 on Thursday, silver ~$52–53 (**Rio Times**) **[EST.]**. **Other:** euro-area October inflation 4.0%, a three-year high, with ECB hike bets; BoE and Banxico decide Thursday; Brazil's Copom held at 13.75% **[EST.]**.

- **Oil crashes 9% as Trump and Vance blame Iran war for midterm rout** — Oilprice.
- **Stocks rise, oil collapses after Dems sweep midterm elections** — TheStreet.
- **Democratic sweep adds new twist for markets: Iran, AI and debt worries** — Reuters via Kitco.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	Fuel pricing: **petrol cut Rs7.06 and diesel Rs3.71 per litre on 4 Nov**, following the formula under which **refineries absorb Rs15bn for 30 days**.	Refiners, OMCs, motorists, government revenue	**Wins: motorists, transporters and inflation-sensitive consumers [EST.]. Loses: refiners whose margins are squeezed and the levy account [EST.]. Net:** supports disinflation as Brent falls; refinery cash-flow strain persists **[EST.]**.
GCC	No new law dated 3–5 Nov was confirmed. Carried over: **UAE Cabinet Decision 174/2026** (effective 1 Jan 2027) caps individual residents at five registered vehicles.	Auto dealers, leasing, fleet owners	**Wins: licensed-fleet and leasing models [EST.]. Loses: individuals holding many vehicles [EST.]. Net:** minor demand drag; watch Gulf budgets as Brent falls below $100 **[EST.]**.

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Global — US	Democrats win the **House and Senate**: divided government ahead of the 11 Dec FY2027 spending deadline, with expected oversight of AI, tariffs and energy.	Energy, AI/tech, renewables, tariff-exposed importers	**Wins: renewables, rate-sensitive equities and oil importers incl. Pakistan [EST.]. Loses: oil producers and AI-sector valuations facing scrutiny [EST.]. Net:** lower oil is a tailwind for Pakistan's external position; a hawkish Fed remains the offset **[EST.]**.

04 The Day Ahead — KSE-100 Levels & Desk Stance (Thursday 5 November)

SUPPORT EST.
169,483
S1; then 166,954 (S2)

PIVOT EST.
170,885
classic pivot off Wednesday's high 172,287, low 168,355 and close 172,013

RESISTANCE EST.
173,415
R1; then 174,817 (R2)

Desk stance — Constructive but extended; buy dips near 169,483, do not chase above 173,415. The index closed at a record on 90-of-100 breadth, up about 3.3% in two sessions, so the trend favours buyers but a gap-up open leaves little margin; a hold above 170,885 keeps 173,415 and then 174,817 in play, while a close under 170,885 would signal profit-taking toward 169,483 and 166,954. **Drivers.** (1) Brent near $94–95 after a ~9% drop, supportive for Pakistan's import bill and disinflation, but any Iran-talks setback could reverse it. (2) US payrolls Friday and ~75–80% December Fed hike odds. (3) Rupee stability at 276.70, the IMF Board date and the Saudi loan rollover. (4) Fuel price cuts and refinery-margin fallout. **Positioning.** Prefer banks, autos and cement on pullbacks; trim refiners until the levy formula is clear; hold cash buffers for oil and US-rate event risk **[EST.]**. **Mood: Risk-On.**

Run note: compiled ~06:50 AM PKT Thursday. PSX, PKR and US index figures are Wednesday 4 Nov closes. Brent, WTI, gold, silver and yields are intraday prints because no official settlements were found, and some tickers (e.g. Rio Times Brent ~$109.6) were stale and disregarded. Not verified: VIX, Intel/Palantir updates, DFM/ADX closes, PIF news, OPEC+ decisions, a dated new GCC law and KSE-100 sector points. TASI is a CFD-based quote. The two Mettis headlines on the petrol cut and IMF Board timing were not opened in full. Levels use Wednesday's published high, low and close.

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